# The Cleaning Authority

Franchise Decision Report

---

Source: 2025 Franchise Disclosure Document
Filed with the Wisconsin Department of Financial Institutions
Legal entity: The Cleaning Authority Franchising SPE LLC
Report generated: 2026-03-17

## Contents


1 Executive Summary

2 Decision Scorecard

3 Buyer-Fit Profile

4 Fee Burden Analysis

5 Item 19 Interpretation

6 Buyer-Side Economics Reality Check

7 Investment Breakdown

8 System Health

9 Risk Signals

10 Peer Context

11 Discovery Day Diligence Script

12 Source & Methodology

# The Cleaning Authority

Franchise Decision Report

Source: 2025 FDD filed with Wisconsin DFI · Filing year: 2025
Legal entity: The Cleaning Authority Franchising SPE LLC
Report generated: 2026-03-17 · Franchise Decision Radar

## Executive Summary

The Cleaning Authority is a mature, PE-backed residential cleaning franchise (Authority Brands / Apax Partners) with 236 total outlets (233 franchised, 3 company-owned) as of year-end 2024 and one of the richest Item 19 disclosures in the cleaning cohort. The average Enterprise territory generated $1.46M in gross revenue in fiscal year 2024, with COGS running 61–63% and average price per clean of $165–$173. The system has grown steadily — 212 to 236 units over three years (+24 net), with 2024 the strongest year (+12). Turnover dropped to 4.1% in 2024, the lowest in the reporting period.

The biggest active risk is the TCAF litigation: an independent franchisee association is suing the franchisor over marketing fund transparency, above-market pricing for franchisor-supplied services, and alleged inhibition of franchisee free association (Item 3, p. 15). The appeal is pending as of April 2025. Separately, confidentiality clauses restrict current and former franchisees from speaking openly about their experience — a structural obstacle to your due diligence. The $100,000 liquidated damages floor on termination (Item 6, p. 26) and DHH-based Local Marketing Fee that cannot be modeled without territory-specific data add complexity to the economic picture.

On balance, this is a franchise with strong disclosed revenue, a favorable royalty structure (tiered 6%/5%/4%), and modest Brand Fund contributions (1%, capped at $200/week). But the true total fee burden is higher than the modelable fees suggest, because the primary marketing cost — the Local Marketing Fee — is territory-size-dependent and excluded from standard revenue-percentage comparisons. A buyer must get territory-specific Local Marketing Fee estimates before signing.

## Decision Scorecard

Quick-read assessment across key buyer decision dimensions. Ratings reflect this brand's position relative to the residential cleaning cohort.

| DIMENSION | RATING | SUMMARY |
|---|---|---|
| **Entry cost burden** | STRONG | Enterprise: $93K–$147K. Hometown: $77K–$120K. Mid-to-low for cleaning cohort, with Hometown offering a lower on-ramp. |
| **Ongoing fee burden** | MIXED | Modelable fees are lowest in cohort (7.4–8.0% at $200K–$500K). But Local Marketing Fee (DHH-based, ~$10K–$20K+/yr) is excluded — true burden is materially higher. |
| **System stability** | STRONG | Steady growth: +9, +3, +12 net units over 3 years. Only 1 termination in 2024. Turnover dropped from 10.6% to 4.1%. |
| **Revenue disclosure** | STRONG | Richest Item 19 in cleaning cohort. Per-territory gross revenue, COGS%, price per clean, customer loss rates, lead conversion, and employee counts across performance thirds. |
| **Disclosure quality** | MIXED | Rich data offset by confidentiality clauses restricting franchisee speech and TCAF litigation alleging marketing fund opacity. |
| **Downside risk profile** | MIXED | TCAF lawsuit is a live red flag. $100K liquidated damages floor on termination. Local Marketing Fee is opaque and franchisor-controlled. Confidentiality restrictions hinder diligence. |
| **Buyer fit breadth** | STRONG | Two market types (Enterprise/Hometown), non-seasonal recurring revenue, tiered royalty that rewards growth. Works for owner-operators and semi-absentee at scale. |
| **Overall** | NOTABLE | Disclosed unit economics and disclosure depth are among the strongest in the cohort, but the TCAF litigation and fee opacity demand careful diligence. Relative cohort position does not establish absolute profitability. |

**OVERALL POSTURE**

The Cleaning Authority is the strongest disclosure story in the residential cleaning cohort and produces genuinely large revenue per territory. The tiered royalty and low Brand Fund rate reward scale. But the TCAF litigation, confidentiality clauses, and opaque Local Marketing Fee structure mean the franchise agreement has more friction than the topline economics suggest. This is a franchise where the numbers look good on paper — your job in diligence is to verify that the costs you cannot model from the FDD alone do not erode the margin the disclosed numbers imply.

## Buyer-Fit Profile

### Best fit for

- **Experienced operator comfortable managing labor:** With COGS at 61–63% (mostly direct labor, payroll taxes, and workers' comp), this is a labor-intensive business. The top third of Enterprise territories employ an estimated 45 cleaning staff per territory. You are running a workforce, not performing the service yourself.
- **Buyer seeking recurring, non-seasonal revenue:** Unlike mosquito control, residential cleaning generates year-round income. Average weekly customer loss of 0.76–1.12% means retention is a treadmill, but the revenue base does not disappear in winter.
- **Growth-oriented buyer who will benefit from tiered royalty:** The 6%/5%/4% marginal structure means your effective royalty rate drops as revenue climbs. An Enterprise territory at $1.46M average revenue pays a blended ~4.8% royalty — well below the 6–7% flat rates common in the cohort.
- **Buyer with $120K–$150K liquid capital (Enterprise):** The midpoint Enterprise investment is ~$120K. Hometown offers a lower entry at ~$98K midpoint, but Item 19 data covers Enterprise only — Hometown economics are unverified in the FDD.

### Weaker fit for

- **Solo owner-operator expecting to clean houses yourself:** This is designed as a manager-led operation with cleaning teams. The Item 7 includes a Full Time Manager line item ($0–$13,750). If you want to be the one cleaning, this model is not built for that.
- **Buyer uncomfortable with opaque fee structures:** The Local Marketing Fee is DHH-based, paid to the franchisor (who is the sole approved supplier), and cannot be calculated without territory-specific data. If you need full cost transparency before signing, this structure will frustrate you.
- **Buyer in a small market (sub-15,000 DHH):** Hometown Market is the minimum at 15,000 DHH. Below that, you do not qualify. And the 12 Hometown territories are excluded from Item 19 entirely — you have no disclosed revenue benchmarks for Hometown operations.

**Proceed only if**

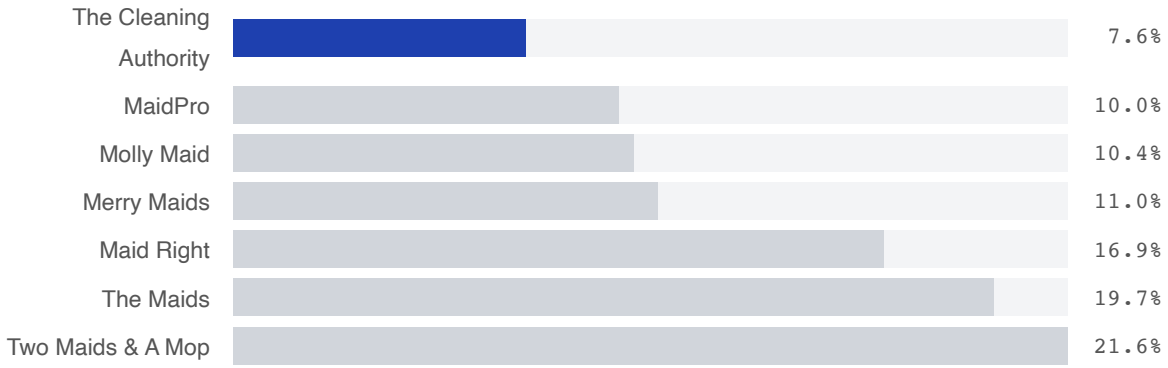
- You have obtained a territory-specific Local Marketing Fee estimate for your proposed territory and incorporated it into your financial model. The FDD does not give you a dollar amount — you must ask.
- You have read the TCAF lawsuit filing and understand the allegations. Regardless of outcome, the claims about marketing fund opacity and above-market pricing are specific enough to investigate.
- You have talked to current franchisees about their actual total fee burden — not just the modelable components. The confidentiality clauses may limit what they share, which is itself a signal.

## Fee Burden Analysis

The Cleaning Authority's modelable fees (royalty + Brand Fund + technology) are the lowest in the cleaning cohort at every revenue level — 7.4% to 8.0% of revenue from $200K to $500K. But this figure is misleadingly low because it excludes the Local Marketing Fee, which is the primary ongoing marketing cost and is paid directly to the franchisor. The fee is calculated per Designated Household in your territory, not as a percentage of revenue, making it impossible to model without territory-specific data.

| AT REVENUE | ROYALTY | MARKETING | TECH / OTHER | TOTAL | % OF REV | COHORT RANK |
|---|---|---|---|---|---|---|
| **$200,000** | $12,000 | $2,000 | $1,902 | **$15,902** | 8.0% | 1/7 |
| **$300,000** | $18,000 | $3,000 | $1,902 | **$22,902** | 7.6% | 1/7 |
| **$400,000** | $24,000 | $4,000 | $1,902 | **$29,902** | 7.5% | 1/7 |
| **$500,000** | $30,000 | $5,000 | $1,902 | **$36,902** | 7.4% | 1/7 |

### Cohort fee burden at $300K revenue



Total annual franchisor fees as a percentage of $300K gross revenue. Includes royalty, marketing, technology, and all mandatory recurring fees.

### Component breakdown

- **Royalty (6%/5%/4% tiered):** Marginal brackets like income tax. Enterprise: 6% on first $600K, 5% on $600K–$1.3M, 4% above $1.3M. At the system average of $1.46M, blended effective rate is ~4.8%. This is the most franchisee-friendly royalty structure in the cleaning cohort. Hometown thresholds are lower ($300K/$550K). Rate reverts to 6% each January 1. Reduced rates void if not in compliance. (p. 19)
- **Brand Fund (1%, capped at $200/week):** Modest. At $500K revenue, 1% = $5,000/yr, well below the $10,400 annual cap. Can only be increased above 1% with consent of 50%+ of franchisees. This is one of the lowest national marketing contributions in the cohort. (p. 19)
- **Technology ($36.58/week, rising to $40.24):** $1,902/yr currently, increasing to $2,092/yr in July 2025. Covers TCA IQ software. Lower than most competitors ($5,500–$10,900/yr in this cohort). Franchisor reserves right to increase annually. (p. 21)
- **Local Marketing Fee (DHH-based — NOT modeled):** Currently $0.374 per DHH times a percentage (9–13%) of territory DHH, depending on customer count. For a 40,000 DHH Enterprise territory at the 11% tier: $0.374 × 4,400 = $1,646/week = $85,580/year. This is a rough illustration — your actual number depends on territory size and customer count. The fee is paid to the franchisor, who is the sole approved supplier of the Local Marketing Program. Anticipated increase to $0.389 in 2025, with up to 4% cumulative annual increases allowed. (pp. 19–20, 26–27)

**THE FEE STRUCTURE YOU CANNOT SEE FROM THE FDD ALONE**

At $500K revenue, the modelable fees total $36,902 (7.4%). But if the Local Marketing Fee runs $40K–$85K (plausible range depending on territory size), the true total fee burden is $77K–$122K — or 15–24% of revenue. This would place The Cleaning Authority anywhere from competitive to expensive relative to peers, depending entirely on your territory's DHH count. The TCAF lawsuit specifically alleges above-market pricing for these franchisor-supplied marketing services. Until you have your territory-specific number, you cannot make an informed fee comparison.

**What this means:** The royalty and Brand Fund are genuinely favorable. The technology fee is low. But the Local Marketing Fee is the elephant in the room — it could easily be 2–5× larger than all other fees combined, and it is controlled by the franchisor with limited franchisee visibility into how the money is spent (per TCAF's allegations). Your diligence must focus on this single fee above all others.

## Item 19 Interpretation

The Cleaning Authority provides the richest Item 19 in the residential cleaning cohort. Table 1 reports per-territory gross revenue, COGS percentages, average price per clean, customer loss rates, lead conversion metrics, and employee counts — broken into performance thirds for 206 Enterprise Market territories that operated the full fiscal year 2024. (pp. 71–73)

### Revenue by performance third (Enterprise Market, FY 2024)

- **Top Third (69 territories):** Average $2.45M, median $2.26M. Range: $1.65M–$5.10M.
- **Middle Third (68 territories):** Average $1.29M, median $1.26M. Range: $976K–$1.64M.
- **Lower Third (69 territories):** Average $638K, median $692K. Range: $121K–$973K.
- **System average (206 territories):** $1,457,906.
  These are large numbers by franchise standards. The system generated $300.3M in total gross revenue across 206 reporting Enterprise territories. Even the lower third averages $638K — though the range extends down to $121K, suggesting at least some territories are struggling or early-stage.

### Operational metrics worth noting

- **Average price per clean:** Remarkably consistent across thirds ($165–$173). Pricing power does not appear to drive the revenue spread — volume (number of cleans) does.
- **COGS:** 61% for top and middle thirds, 63% for lower third. The 2-point spread suggests lower-revenue territories have slightly less labor efficiency or cost discipline.
- **Weekly customer loss rate:** 0.76% (top), 0.86% (middle), 1.12% (lower). Annualized, the lower third loses roughly 44% of its customer base per year — a brutal retention treadmill that demands constant lead generation to maintain revenue.
- **Lead-to-appointment conversion:** 41% across top and middle thirds, 44% for lower third. Conversion rates are consistent; the difference is lead volume, not conversion efficiency.

### What's missing

- **Hometown Market data:** The 12 Hometown territories are excluded entirely from Item 19. If you are considering a Hometown territory, you have zero disclosed revenue benchmarks.
- **Net income or profit:** COGS is disclosed but overhead costs (rent, manager salary, admin, Local Marketing Fee) are not included in COGS. The FDD footnotes that COGS excludes advertising, Local Marketing Fees, rent ($1,200–$2,000/mo), phone/internet ($250–$350/mo), manager salaries, owner draws, and employee recruitment advertising ($300–$500/mo). (p. 73)
- **Survivorship bias:** 3 territories that closed during 2024 and 15 that opened during 2024 are excluded. The closed territories' revenue is not reflected in the averages.

### From gross revenue to owner economics

The Item 19 gives you revenue and COGS — but not profitability. Here is what we can reconstruct from the disclosed data and footnotes:

**For a middle-third Enterprise territory ($1.29M revenue):**

- COGS at 61%: ~$787K (includes direct labor, payroll taxes, workers' comp, GL insurance, cleaning supplies, mileage, and Royalty Fees — note royalty is embedded in COGS)
- Gross margin after COGS: ~$503K (39%)
- Estimated overhead from footnotes: rent ($14K–$24K), phone/internet ($3K–$4K), manager salary ($40K–$60K+), employee recruitment ($3,600–$6,000), Local Marketing Fee (unknown, likely $40K–$85K+)
- Estimated overhead range: $101K–$179K
- Implied pre-tax owner income: $324K–$402K before Local Marketing Fee, or $239K–$362K after estimated Local Marketing Fee range

For a **lower-third Enterprise territory ($638K revenue)**, the math tightens considerably:

- COGS at 63%: ~$402K
- Gross margin: ~$236K
- After estimated overhead ($90K–$160K): $76K–$146K implied pre-tax owner income

> **What this means:** The top two-thirds of Enterprise territories appear to generate meaningful owner income even after estimated overhead — potentially $150K–$350K+ for a mature, well-run operation. The lower third is tighter but still appears viable. The critical unknown is the Local Marketing Fee, which could represent $40K–$85K+ of the overhead estimate. Until you pin down that number for your specific territory, these triangulations have a wide confidence interval.

> **ROYALTY IS INSIDE COGS**
>
> An important detail: the FDD states that COGS includes Royalty Fees (p. 73). This means the 61–63% COGS figure already accounts for the 6%/5%/4% royalty. When building your own financial model, do not double-count the royalty as both a COGS component and a separate fee line item.

## Buyer-Side Economics Reality Check

**Important framing:** This is not a profitability forecast. It is an illustrative scenario exercise using The Cleaning Authority's disclosed Item 19 revenue and COGS data for Enterprise Market territories. The FDD does not disclose net franchisee profitability. COGS (61–63%) includes royalty fees but excludes rent, manager salary, Local Marketing Fee, and other overhead. Your actual results depend on your territory, labor market, customer acquisition costs, and execution. Hometown Market territories have no disclosed benchmarks.

| SCENARIO | REVENUE | FRANCHISOR FEES | EST. COGS | REMAINING |
|---|---|---|---|---|
| **Lower Third average** | $638,000 | $36,902 (5.8%) | $350,900 | **$250,198** |
| **Middle Third average** | $1,288,000 | $36,902 (2.9%) | $708,400 | **$542,698** |
| **Top Third average** | $2,446,000 | $36,902 (1.5%) | $1,345,300 | **$1,063,798** |

*Revenue from Item 19 Table 1 Enterprise Market performance thirds (FY 2024, 206 territories). COGS at 55% (adjusted from disclosed 61% to remove the royalty component, which the FDD includes in COGS per footnotes p. 73 but which is separately modeled in the franchisor fee column). The disclosed 61% includes direct labor, payroll taxes, workers' comp, insurance, supplies, mileage, and Royalty Fees. Using 61% in the COGS column while also subtracting royalty in the fee column would double-count royalty. The 55% figure approximates COGS-excluding-royalty at modeled revenue levels (effective blended royalty of ~5–6%). COGS still excludes: rent, manager salary, Local Marketing Fee, phone/internet, employee recruitment advertising, and owner draw. 'Remaining' must cover all of those excluded overhead items plus personal taxes.*

## Investment Breakdown

Two investment tiers: Enterprise Market ($92,850–$147,100) and Hometown Market ($76,600–$119,599). The spread is driven primarily by Territory Fee (based on DHH count), whether you hire a full-time manager at launch ($0–$13,750), and office rent. The franchise fee itself is fixed: $20,000 Enterprise, $15,000 Hometown. Multiple discount programs exist: 30% for existing franchisees, 30% for military/VetFran, $5,000 off for diversity or first responders. (pp. 16–18, 28–29)

| CATEGORY | LOW | HIGH |
|---|---|---|
| Territory Fee | $22,500 | $45,000 |
| Franchise Fee | $20,000 | $20,000 |
| Computer, including Training Software Access Fee | $1,750 | $2,750 |
| Washer, Dryer & Furniture | $1,850 | $3,350 |
| Cleaning Equipment and Supplies | $2,500 | $3,500 |
| Travel and Living Expenses While Training | $3,250 | $4,250 |
| Insurance and Insurance Deposits | $5,500 | $7,500 |
| Opening Inventory | $2,500 | $3,000 |
| Office Rent and Security Deposit | $6,000 | $12,000 |
| Vehicle Lease or Purchase | $0 | $2,000 |
| Full Time Manager | $0 | $13,750 |
| Additional Funds (3 months) | $27,000 | $30,000 |
| **Total** | **$92,850** | **$147,100** |

### What to know about the major line items

- **Territory Fee ($22,500–$45,000 Enterprise / $11,250–$22,499 Hometown):** Calculated at $0.75 per Designated Household in your territory. This is a variable cost driven by territory size — a 30,000 DHH Enterprise territory costs $22,500; a 60,000 DHH territory costs $45,000. Unlike most franchise fees, you are paying for territory size, not just the brand license. (pp. 16–17)
- **Franchise Fee ($20,000 Enterprise / $15,000 Hometown):** Fixed, nonrefundable, due at signing. Combined with Territory Fee, total initial fees ranged from $7,500 to $64,107 in fiscal year 2024. (p. 16)
- **Additional Funds — 3 months ($27,000–$30,000):** Covers incorporation, internet, recruitment, employee wages (excluding owner and manager salary), and advertising for first 3 months. Does not include royalty fees. This is the single largest line item and is estimated, not fixed. (p. 28)
- **Full Time Manager ($0–$13,750):** Three months' salary if you hire a manager at launch. Zero if the owner operates. This is a meaningful swing factor — and a key decision about your operating model from day one. (p. 28)

- **Office space ($6,000–$12,000):** Three months' rent plus security deposit. Enterprise assumes 800–1,200 sq ft; Hometown 700–1,100 sq ft. You need a physical location for equipment storage, laundry, and crew staging. (pp. 28–29)

> **What this means:** An owner-operator taking the smallest Enterprise territory (30,000 DHH) with existing equipment can enter near the low end (~$93K). A buyer taking a large Enterprise territory with a hired manager is closer to $147K. The Hometown tier offers a genuine lower on-ramp ($77K–$120K) — but with no Item 19 data to validate the economics. Discount programs can reduce the Territory + Franchise Fee by 30%, saving $12K–$20K at the Enterprise level.

## System Health

Steady, accelerating growth. The system added 24 net total units over three years (212 to 236 total; 233 franchised), with 2024 the strongest year at +12. Terminations are minimal: 3 in 2022, 4 in 2023, and just 1 in 2024. Ceased operations followed a similar pattern: 0, 6, 3. The 2024 numbers — 16 openings against just 4 departures (1 termination, 3 ceased) — represent the healthiest year in the reporting period. Eleven franchise agreements were signed but not yet opened as of year-end 2024, suggesting the pipeline remains active. (pp. 75–82)

| YEAR | OPENED | CLOSED | NET | END COUNT |
|---|---|---|---|---|
| **2022** | 12 | 3 | +9 | 218 |
| **2023** | 13 | 10 | +3 | 221 |
| **2024** | 16 | 4 | +12 | 233 |

### Turnover trend

Turnover rate (terminations + non-renewals + reacquisitions + ceased operations + transfers, divided by start-of-year franchised count): 6.7% (2022), 10.6% (2023), 4.1% (2024). The 2023 spike was driven by 6 ceased operations and 13 transfers; 2024 saw both metrics improve sharply. Zero non-renewals across all three years. (pp. 75, 78, 81)

### Transfer activity

11 transfers (2022), 13 (2023), 5 (2024). The decline in 2024 transfers is ambiguous — it could mean fewer owners wanting to sell (positive) or fewer buyers interested (negative). At 5 transfers out of 221 start-of-year units, the 2024 rate is just 2.3% — low by industry standards.

### Geography of closures

Ceased operations cluster in coastal/high-cost states: California (2 across 2023–2024), Florida (1), New Jersey (2), Oregon (1), Washington (1). This could reflect labor cost pressure in those

markets or unrelated individual circumstances. The Midwest and South, where most growth occurred (Florida +3, Texas +3, Alabama +1, Georgia +1 in 2024), appear healthier.

> **What this means:** This is a system that is growing modestly and losing very few units. The 2024 acceleration (+12 net) with minimal departures is a positive signal. But the system is also not growing fast — 236 total units after nearly 30 years of franchising (since 1996) suggests organic, steady-state growth rather than aggressive expansion. For a buyer, this means less risk of oversaturation but also less network effect momentum than a rapidly expanding system.

### Company-owned outlets

Three company-owned outlets, all in Maryland, unchanged across the entire reporting period. The franchisor is not competing with its franchisees and is not acquiring or flipping territories.

## Risk Signals

### TCAF litigation — the headline risk

The Independent Association of Cleaning Authority Franchisees (TCAF) filed suit in October 2023 in Howard County, Maryland, alleging: (1) inadequate disclosure of TCAF contact info in the FDD; (2) inhibition of franchisee association; (3) denial of marketing revenue and expenditure information; (4) above-market rates for franchisor-supplied marketing and services; and (5) failure to use marketing funds for franchisee benefit. The court dismissed TCAF's representative claims, holding they must proceed as individual arbitrations. TCAF appealed; oral arguments were held April 3, 2025. The case is pending. (p. 15)

Regardless of the legal outcome, the allegations are specific and substantive. An independent franchisee association does not form and file suit lightly — it signals organized dissatisfaction among a meaningful subset of the franchise base. The marketing fund transparency claims are directly relevant to the Local Marketing Fee that dominates franchisee cost structure. A prospective buyer should independently investigate these claims during diligence.

### Confidentiality clauses

The FDD discloses that "during the last three fiscal years, current and former franchisees have signed confidentiality clauses and provisions restricting their ability to speak openly about their experience." This is not unique to TCA — but combined with the TCAF litigation over free association rights, it creates a chilling effect on your ability to gather candid franchisee feedback during diligence. If franchisees you contact seem guarded or unwilling to discuss economics, this is likely why.

### $100,000 liquidated damages floor

If the franchisor terminates your agreement for default, you owe the greater of (i) two years of Royalty Fees (average per period × number of periods in 2 years) or (ii) $100,000. For a territory generating $1.3M in revenue at ~5% blended royalty, two years of royalty is ~$130K — so the $100K floor is a binding constraint mainly for smaller or newer territories. This is a significant termination penalty that limits your downside options. (p. 26)

### SPV entity structure

The franchisor is The Cleaning Authority Franchising SPE LLC — a special purpose entity within the Authority Brands / Apax Partners securitization chain. All franchise agreements were transferred to the SPE in May 2021. This is a PE-standard structure that may affect your legal recourse in a dispute — you are contracting with a ring-fenced entity, not with Authority Brands directly. The Cleaning Authority is a sister brand to Mosquito Squad under the Authority Brands umbrella. (p. 6)

### Cavallaro litigation

The Cleaning Authority sued a former franchisee (Mike Cavallaro) for breach of agreement and post-term non-compete violation. The franchisee counterclaimed alleging misrepresentations that induced him to sign the franchise agreement. Summary judgment motions were under submission as of December 2024. While a single case, the misrepresentation counterclaim is worth noting — it suggests at least one franchisee felt the pre-sale representations did not match reality. (p. 15)

## Peer Context

The Cleaning Authority stands out in the residential cleaning cohort for revenue scale: the $1.46M average Enterprise territory dwarfs what most cleaning franchise brands disclose (or can claim). The tiered royalty that drops to 4% above $1.3M rewards that scale. Among the seven brands in this cohort, TCA has the lowest modelable ongoing fee burden — but the asterisk on that claim is enormous, because the Local Marketing Fee that dominates real-world costs is not revenue-based and cannot be compared apples-to-apples.

**Closest comparison: Molly Maid.** Similar PE-backed structure (Neighborly / KKR), similar system size. Molly Maid charges a flat 6.5% royalty plus 2% MAP — simpler and more predictable. But Molly Maid's Item 19 reports average cleans per territory rather than dollar revenue, making direct revenue comparison difficult. TCA's disclosure is significantly richer.

**Sharpest contrast: Two Maids & A Mop.** Highest total fee burden in the cohort (27.9% at $200K) due to $2,500/month mandatory local advertising plus 7% base royalty. TCA's modelable burden at the same revenue is 8.0%. Even after adding an estimated Local Marketing Fee, TCA is

almost certainly cheaper to operate. But Two Maids has no confidentiality clauses and no franchisee lawsuit — sometimes simpler structures come with less friction.

**Worth noting: MaidPro** offers the simplest fee structure (6% royalty + 2% Brand Fund + $500/mo tech = 9.2% at $500K) with no DHH-based complications. If fee transparency is a priority and you are willing to accept a simpler system with less disclosed performance data, MaidPro is the cleaner alternative — literally and figuratively.

| METRIC | MAID RIGHT | MAIDPRO | MERRY MAIDS | MOLLY MAID | THE CLEANING AUTHORITY | THE MAIDS | TW MAIDS A MC |
|---|---|---|---|---|---|---|---|
| **System size** | 35 | 237 | 802 | 448 | 233 | 338 | 1 |
| **Investment range** | $147K–$218K | $109K–$158K | $126K–$170K | $139K–$197K | $92K–$147K | $117K–$141K | $93 $14 |
| **Fee burden at $300K** | $50,780 | $30,000 | $32,988 | $31,056 | $22,902 | $59,130 | $64,8 |
| **% of revenue** | 16.9% | 10.0% | 11.0% | 10.4% | 7.6% | 19.7% | 21. |
| **3-year net growth** | +11 | −9 | −187 | −53 | +24 | −13 | + |
| **Recent attrition** | 34.1% | 3.0% | 10.2% | 5.4% | 1.8% | 2.9% | 5. |
| **Royalty rate** | 6.0% | 6.0% | 7.0% | 6.5–3.0% | 6.0–4.0% | 6.9–3.9% | 7. 4. |

## Discovery Day Diligence Script

These questions are derived from specific findings in the The Cleaning Authority 2025 FDD. Each includes context on why it matters and what to listen for.

1. What is the actual Local Marketing Fee for the specific territory I am considering, expressed as a weekly and annual dollar amount?

*Item 6, pp. 19–20, 26–27. Fee is $0.374/DHH × a percentage (9–13%) of territory DHH based on customer count. Cannot be calculated from the FDD without territory-specific data.*

2. The TCAF lawsuit alleges above-market rates for franchisor-supplied marketing services and failure to use marketing funds for franchisee benefit. How do you respond to those specific allegations?

*Item 3, p. 15. TCAF v. The Cleaning Authority, filed October 2023. Appeal pending after court dismissed representative claims.*

3. The FDD notes that current and former franchisees have signed confidentiality clauses restricting their ability to speak openly. What specifically can and cannot a current franchisee share with me during my diligence?

*FDD metadata warnings. Confidentiality provisions disclosed as applying during last three fiscal years.*

---

4. Item 19 covers only Enterprise Market territories. What does revenue look like for the 12 Hometown Market territories?

*Item 19 Table 1 explicitly excludes 12 Hometown territories. pp. 71–73.*

---

5. The lower third of Enterprise territories has a 1.12% weekly customer loss rate — annualized, that is roughly 44% customer churn. What support do you provide to territories with high attrition?

*Item 19 Table 1, lower third metrics. 69 territories averaging $638K revenue. p. 72.*

---

6. The liquidated damages clause sets a floor of $100,000 upon franchisor-initiated termination. Under what circumstances has this been enforced in the last 5 years, and what was the average amount collected?

*Item 6, p. 26. Greater of 2 years' royalty or $100K.*

---

7. COGS in Item 19 includes Royalty Fees. Can you provide a breakout of COGS components — specifically, what percentage is direct labor vs. royalty vs. supplies vs. insurance?

*Item 19 footnotes, p. 73. COGS includes direct labor, payroll taxes, workers' comp, GL insurance, cleaning supplies, mileage, and Royalty Fees.*

---

8. Authority Brands also owns Mosquito Squad. Are there any shared services, cross-selling arrangements, or combined territory requirements between the two brands?

*Parent company is Authority Brands, Inc. / Apax Partners. Mosquito Squad is a sister brand.*

---

### Source & Methodology

**Source document:** The Cleaning Authority 2025 Franchise Disclosure Document, filed with the Wisconsin Department of Financial Institutions. 292-page regulator-source PDF. SHA-256:
`9731ea214c871b67839016ba35cdd6f38c1da35a463334a2d6691ce31e9b1c2f`

**Extraction:** Structured data extraction using pdfplumber with manual review. Field-level provenance recorded (source year, state, page number, item reference). Extraction confidence: high (3+ fields spot-checked against source).

**Fee modeling:** Year 5 assumptions, single territory, 1 owner + 1 technician. Revenue distributed evenly across the year. All mandatory fees enforced. See fee_modeling_framework.md for full methodology.

**Economics scenarios:** Revenue estimates drawn from Item 19 data. COGS ratio is brand-specific (derived from available company-owned P&L data; see Economics section for derivation and assumptions). Scenarios

are illustrative, not predictive. Operating costs beyond franchisor fees and COGS are not estimated — the buyer must validate these independently.

**Peer comparison:** Same methodology applied to all 7 brands in this cohort (Maid Right, MaidPro, Merry Maids, Molly Maid, The Cleaning Authority, The Maids, Two Maids & A Mop). All from 2025 FDDs filed with Wisconsin DFI.

**Disclaimer:** This report is not legal advice, investment advice, or a recommendation to buy or avoid this franchise. It is a structured analysis of publicly available regulatory filings. The buyer should read the actual FDD, consult a franchise attorney, and conduct their own due diligence before making any investment decision. Economics scenarios are illustrative frameworks for buyer-side thinking — not profitability forecasts.